

GEORGE SOROS

1930–

Hungarian-born George Soros learned all his survival instincts from his father during the German occupation in World War II. Because they were Jewish, his father obtained false papers and found places to hide. This was a man to respect; he had been captured by the Russians during World War I and subsequently had escaped from prison. Soros' takeaway: "Obeying the law became a dangerous addiction; flaunting it was the way to survive." And he himself admits to not accepting rules imposed by others and has been accused of exceeding the limits of fair play in trading both stock and currencies.

Stifled by the post-World War II communist regime, Soros left for Great Britain in 1947 and studied at the London School of Economics. After a travelling salesman stint, he found a job with a financial institution. While Soros gained some arbitrage experience, he was mostly restricted to boring clerical work, didn't excel, and left with the company's blessing. His sights were on New York, but he couldn't get a working visa because he was too young to be a specialist in anything, a requirement for entering the United States. So he "flaunted" the laws and secured an affidavit stating that arbitrage experts had to be young because they died young; the government let him in.

Eventually, Soros set up his own hedge fund. His investing techniques ran the gamut from hard-core research to gut instinct. Soros once said, "... I suffered from backache. I used the onset of acute pain as a signal that there was something wrong in my portfolio." That was some back pain—\$10,000 invested with Soros in 1969 was worth \$2.8 million plus in 1988. Soros has been characterized as having three investment techniques: "1. Start small. If things work out, build up a larger position. ... 2. The market is dumb, so don't try to be omniscient. ... 3. A speculator has to define the first level of risk that he dares assume." As for what can go wrong, Soros provides some insight by diagnosing the 1987 crash in *After Black Monday*. One of his points: The management of monetary policy is a critical global issue in preventing stock market crashes and recessions.